19_Internal_Control_Audit

RAM – Internal Control & Audit Framework
Document Code: **L_0_19_Internal_Control_Audit**

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1 Policy Statement

RAM establishes a structured **Internal Control and Audit Framework** to:

- Safeguard assets
- Ensure reliability of financial and operational reporting
- Ensure compliance with laws, regulations, and contracts
- Improve governance and risk management effectiveness
- Detect and prevent fraud, misconduct, and inefficiencies

This framework aligns with:

- Committee of Sponsoring Organizations of the Treadway Commission (COSO Internal Control Framework)
- Institute of Internal Auditors (IIA Standards)
- International Organization for Standardization (ISO 31000 Risk Management principles)

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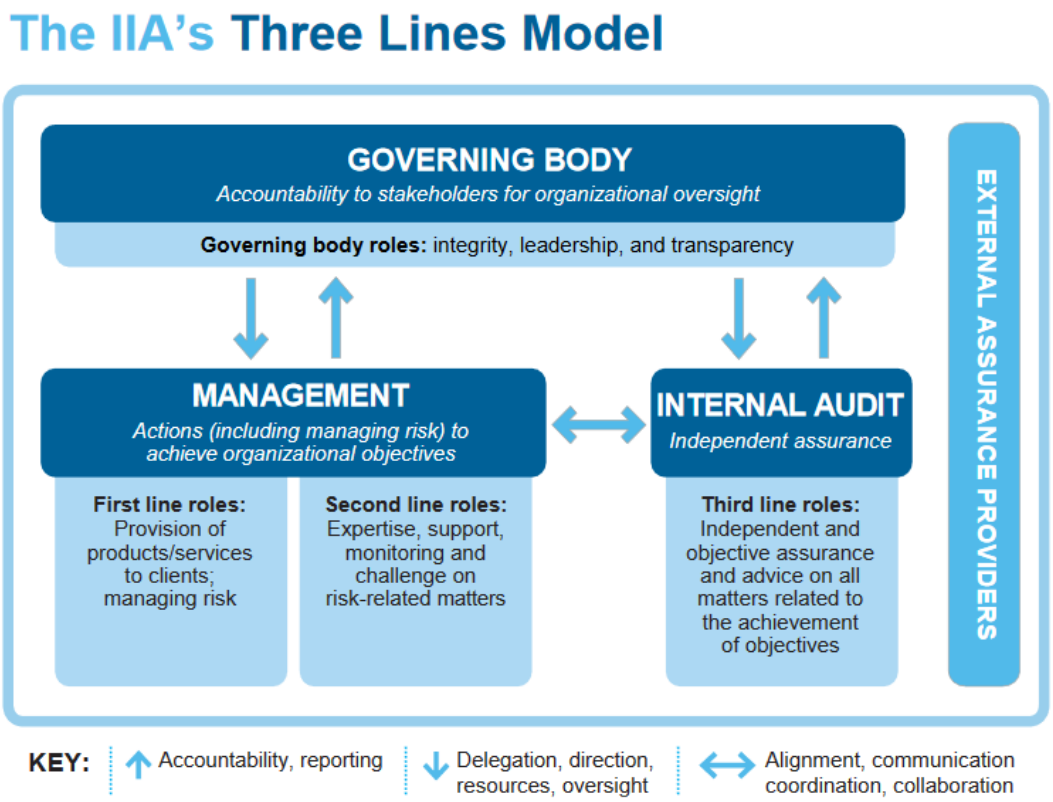
2 Internal Control Architecture (Three Lines Model)



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Line 1 – Management Controls

- Process owners
- Department heads
- Operational controls
- Financial approvals

Line 2 – Risk & Compliance Oversight

- Risk management function
- Compliance officer
- Data governance
- Quality assurance

Line 3 – Independent Internal Audit

- Internal Audit Function
- Reports directly to Board / Audit Committee
- Provides independent assurance

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3 Work Breakdown Structure (WBS)

19.1 Internal Control Framework

- 19.1.1 Control Environment
- 19.1.2 Risk Assessment
- 19.1.3 Control Activities
- 19.1.4 Information & Communication
- 19.1.5 Monitoring Activities

19.2 Internal Audit Management

- 19.2.1 Audit Charter
- 19.2.2 Annual Audit Plan
- 19.2.3 Risk-Based Audit Planning
- 19.2.4 Fieldwork & Testing
- 19.2.5 Reporting & Follow-up

19.3 Fraud Risk Management

- 19.3.1 Fraud Risk Assessment
- 19.3.2 Whistleblowing Mechanism
- 19.3.3 Investigation Protocol
- 19.3.4 Disciplinary Measures

19.4 Compliance Monitoring

- 19.4.1 Regulatory Tracking

- 19.4.2 Contract Compliance Review
- 19.4.3 Policy Adherence Monitoring

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4 SIPOC – Internal Audit Process

Supplier	Input	Process	Output	Customer
Board / Audit Committee	Audit Charter	Develop Risk-Based Plan	Approved Audit Plan	Management
Management	Financial & Operational Data	Conduct Audit Fieldwork	Audit Report	Board
Departments	Process Documentation	Control Testing	Findings & Recommendations	CEO
HR / Legal	Policies & Compliance Data	Compliance Review	Compliance Status Report	Regulators

5 BPMN – Internal Audit Flow

```
Start
  ↓
Annual Risk Assessment
  ↓
Audit Plan Preparation
  ↓
Audit Committee Approval
  ↓
Engagement Planning
  ↓
Fieldwork & Testing
  ↓
Draft Report
  ↓
Management Response
  ↓
Final Report Issued
  ↓
Follow-Up Review
  ↓
Close Audit
End
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6 RACI Matrix – Internal Audit

Activity	Board	Audit Committee	CEO	Dept Head	Internal Audit
Approve Charter	A	R	C	I	C
Approve Audit Plan	I	A	C	I	R
Conduct Audit	I	I	I	C	R
Respond to Findings	I	I	A	R	C
Follow-Up	I	A	C	R	R

R = Responsible
A = Accountable
C = Consulted
I = Informed

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7 Key Internal Controls by Area

A. Financial Controls

- Segregation of duties
- Dual authorization for payments
- Budget variance analysis
- Bank reconciliation review
- Fixed asset register validation

B. Procurement Controls

- Approved vendor list
- Three-quotation policy
- Contract review checklist
- PO approval hierarchy

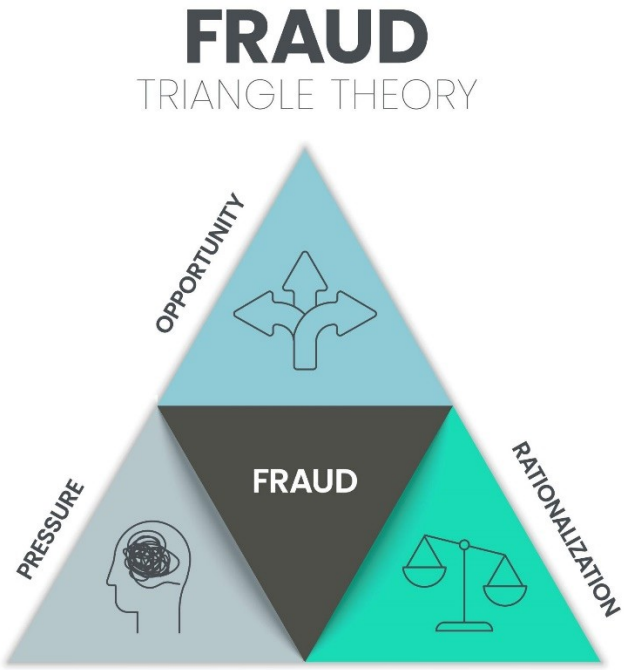
C. HR Controls

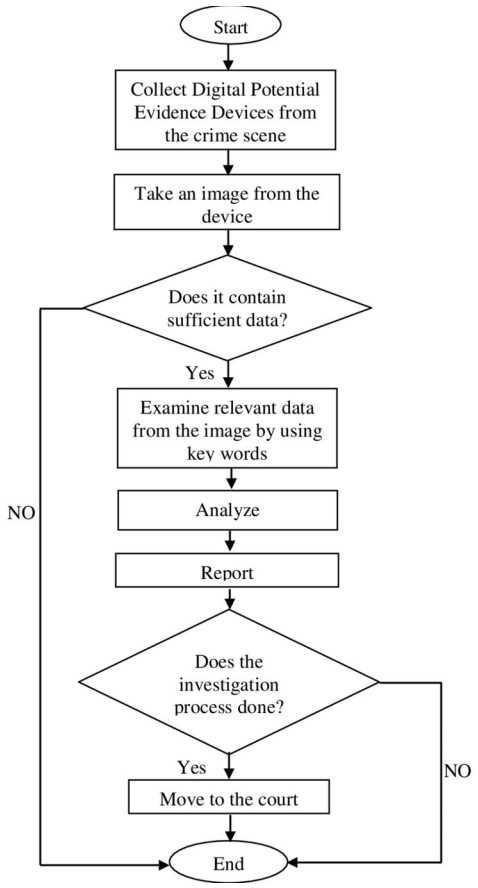
- Payroll reconciliation
- Employment contract verification
- Leave tracking audit
- Access control review

D. IT Controls

- Access rights management
- Backup & disaster recovery testing
- Change management logs
- Data integrity validation

8 Fraud Risk Management Framework





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Fraud Triangle Elements:

- Pressure
- Opportunity
- Rationalization

Controls:

- Anonymous reporting channel
- Segregation of duties
- Conflict of interest declaration
- Vendor due diligence
- Surprise audits

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9 KPI Dashboard – Internal Control & Audit

KPI	Target
% Audit Plan Completed	≥ 90%

High-Risk Findings Closed	≥ 85% within 60 days
Repeat Findings Rate	< 10%
Fraud Incidents Detected	↓ Year-on-Year
Policy Compliance Rate	≥ 95%
Control Testing Coverage	≥ 80% of Critical Processes

10 SAP / ERP Control Points (If SAP Used)

If RAM uses **SAP SE ERP**, control points include:

- User role authorization matrix
- Workflow approval configuration
- Automated 3-way match (PO–GR–Invoice)
- Audit trail activation
- Exception reporting dashboard

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11 Forms & Templates (Standardized Codes)

Code	Form Name
F_19_01	Internal Audit Charter
F_19_02	Annual Audit Plan Template
F_19_03	Risk Assessment Matrix
F_19_04	Audit Program Checklist
F_19_05	Working Papers Template
F_19_06	Audit Report Template
F_19_07	Management Action Plan Tracker
F_19_08	Fraud Incident Report Form
F_19_09	Whistleblower Submission Form
F_19_10	Compliance Monitoring Checklist

12 Governance Reporting Structure

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Internal Audit → Audit Committee → Board of Directors
        ↓
CEO (administrative coordination only)
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Internal Audit must remain functionally independent.

13 Maturity Levels (Control Effectiveness Scale)

Level	Description
1 – Ad Hoc	No documented controls
2 – Basic	Controls exist but informal
3 – Defined	Documented and implemented
4 – Managed	Monitored and measured
5 – Optimized	Continuous improvement & automation

14 Audit Committee Oversight Responsibilities

- Approve audit charter
- Review financial statements
- Oversee external audit
- Monitor internal audit independence
- Review risk management framework
- Oversee whistleblowing cases

15 Integration with Other RAM Sections

Internal Control & Audit interacts with:

- 11_Finance_Accounting
- 07_Risk_Compliance
- 08_Master_Data
- 15_IT_Data_Governance
- 13_Procurement_Commercial
- 14_Human_Resources_Interface

Executive Summary

The RAM Internal Control & Audit Framework ensures:

- Governance integrity
- Financial transparency
- Operational efficiency
- Regulatory compliance
- Fraud mitigation
- Continuous improvement

Next to do

- Convert this into a **Board-grade visual layered governance diagram**
- Create a **Risk & Control Matrix (RCM) in tabular detailed format**
- Prepare a **Printable Audit Manual (structured PDF-ready version)**
- Or integrate this with your full RAM Process Architecture Master Map**